

SENTIENT ADVISORY

Tokenized Equity Long/Short Fundamental Relative Value

Own the AI supply chain, hedged · alpha not beta · Nickel DAL-compliant

Own the companies that SELL the AI buildout — hedged, inside a hard DD cap

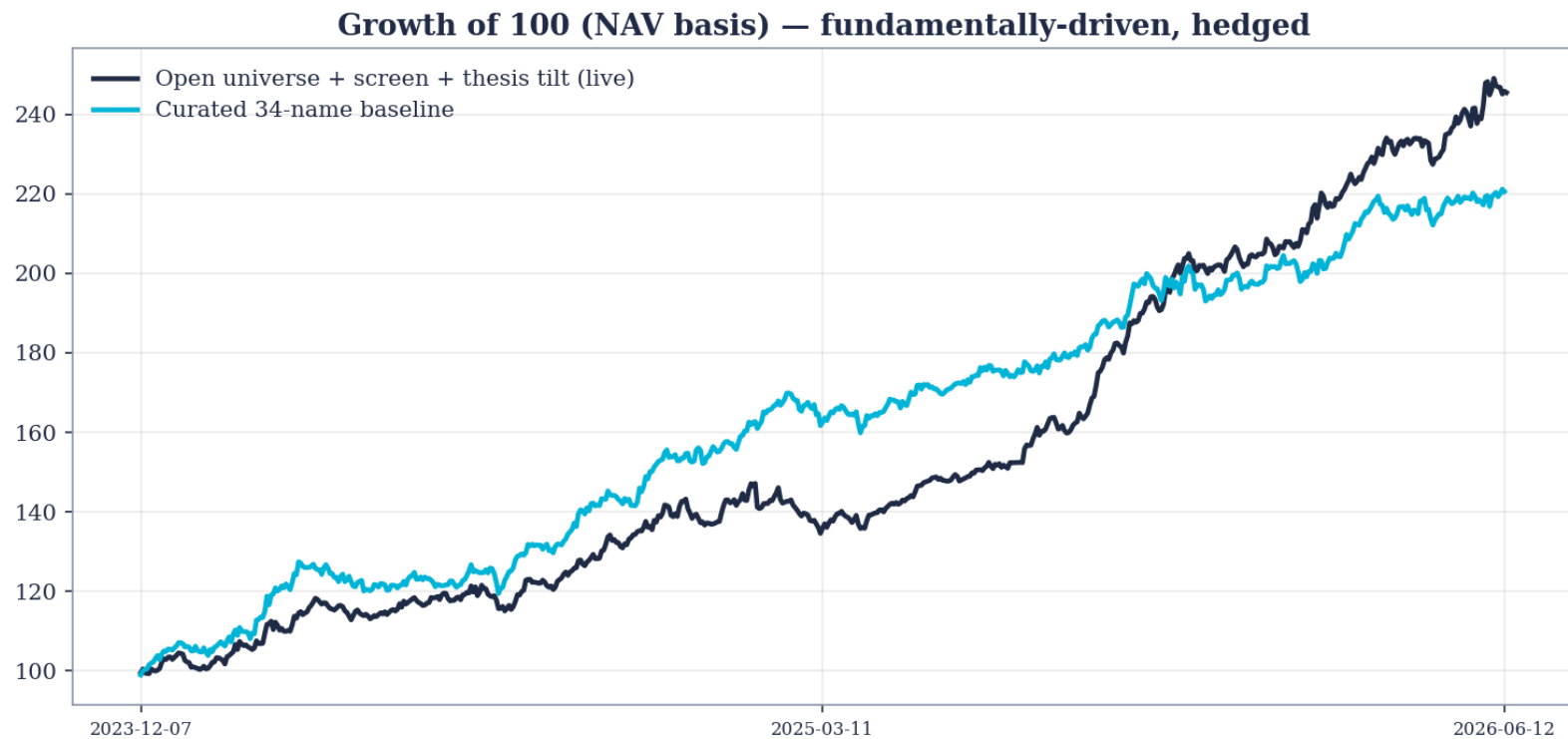
- Universe: OPEN — every tradeable tokenized US-equity perp on Binance + new listings (auto-discovered),
- screened to the investable set; NOT a hand-picked list — it scales as the platform lists more names.
- Edge: systematically own the AI SUPPLY CHAIN that's beating earnings (analyst EPS surprise), confirmed by
- momentum, a valuation tilt, and a picks-&-shovels THESIS tilt — the quant version of how the
- AI-frontier crossover funds (Coatue / Altimeter / Tiger / SAA) pick longs.
- Picks-and-shovels: own the suppliers (RECEIVE the capex); EXCLUDE the hyperscalers that SPEND it.
- Validated by Coatue: 'sellers of the shortage' +107% YTD vs the capex 'buyers' +4% — our exact split.
- Hedge QQQ + SOXL (market + AI-compute factor); BETA-NEUTRAL (~95% of return is selection alpha, not beta).
- The discipline peers lack: a 20%-NAV HARD drawdown stop, auto-enforced (they ran -40% to -56% in 2022).

How the signal works, operationally

Score: $1.0 \cdot z(\text{EPS surprise}) + 0.5 \cdot z(\text{mom}) + 0.5 \cdot z(\text{cheap P/E}) + 2.0 \cdot z(\text{AI-supply thesis}) + 0.5 \cdot z(\text{EPS revisions}) \rightarrow \text{top } \sim 25$

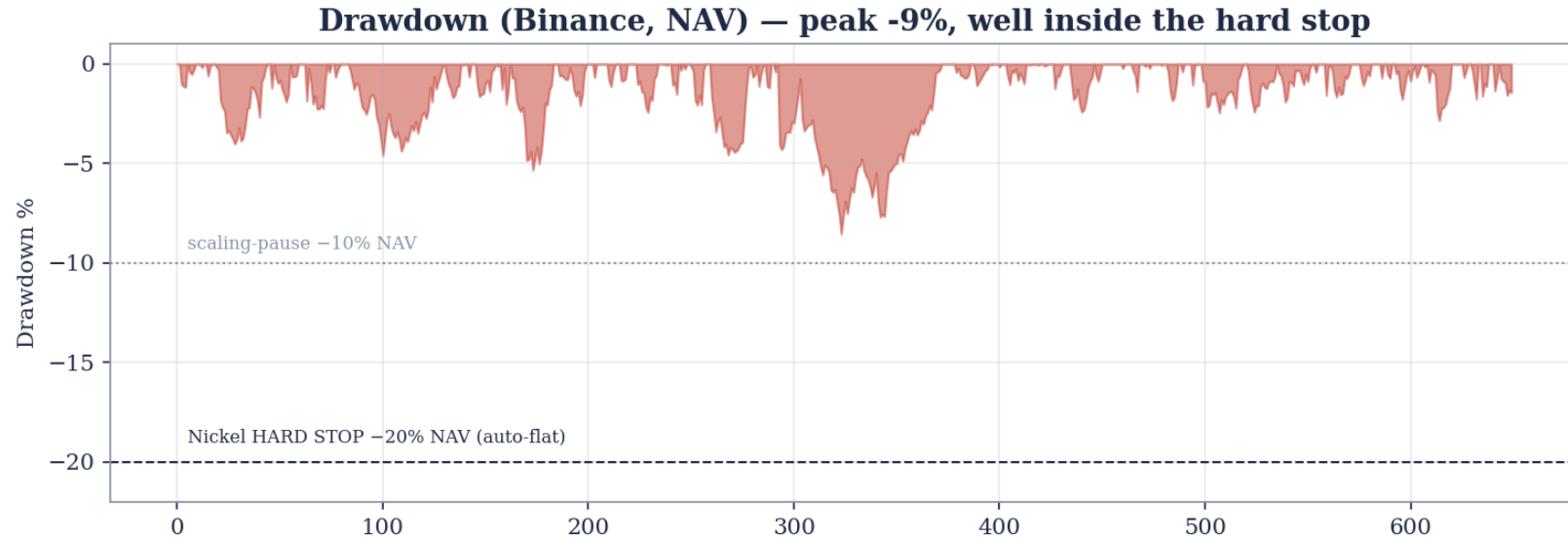
- Open universe $\rightarrow$ investability SCREEN (analyst coverage + revenue, profitability-AGNOSTIC) $\rightarrow$ signal.
- Keeps unprofitable hypergrowth (CoreWeave, Rocket Lab); drops speculative shells. The signal is an
- ordering tool, not a universe builder — naive breadth (all perps) tanks the book to ~ 1.6 Sharpe.
- EPS surprise (the BEAT) is NEW information each quarter $\rightarrow$ ADDS to momentum; the RAISE (estimate-revisions
- leg) is wired and turns on with the analyst-estimates feed.
- Thesis tilt systematically captures the supply-chain bet (does nothing on an all-supplier set — not a booster).
- Construction: top ~ 25 longs, DIVERSIFIED across 6 sectors, per-name cap; QQQ+SOXL min-var hedge, BETA-NEUTRAL.
- Sizing on NOTIONAL (DAL): notional = $2 \times \text{NAV}$; gross $\leq 200\%$; net clamped to a 25% TARGET (buffer below the
- $\pm 30\%$ cap — positions drift between rebalances); vol-target 6%; maker TWAP, $\sim 1 \times$ turnover.

Smooth compounding within the drawdown budget

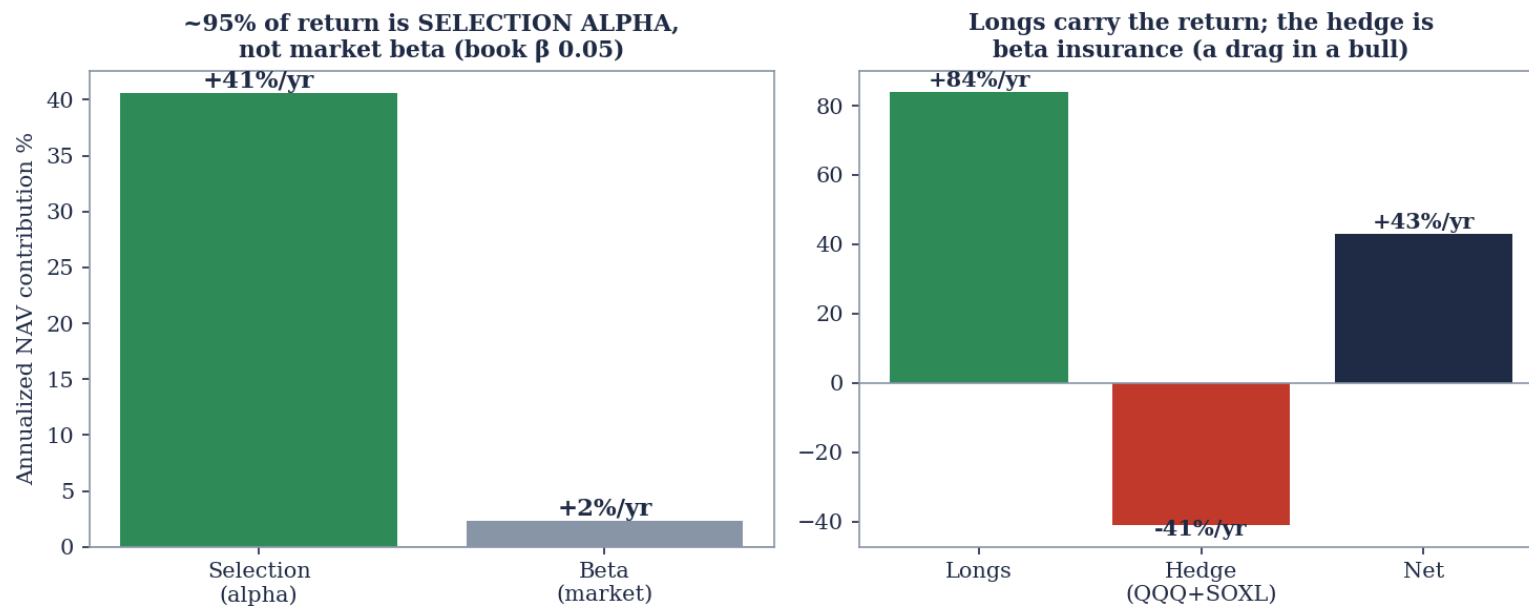


Source: Sentient Equity-RV PRODUCTION harness, ~2.5y, maker cost. One AI-bull regime — illustrative, not OOS-validated.

Drawdown stays well inside Nickel's 20% NAV hard stop



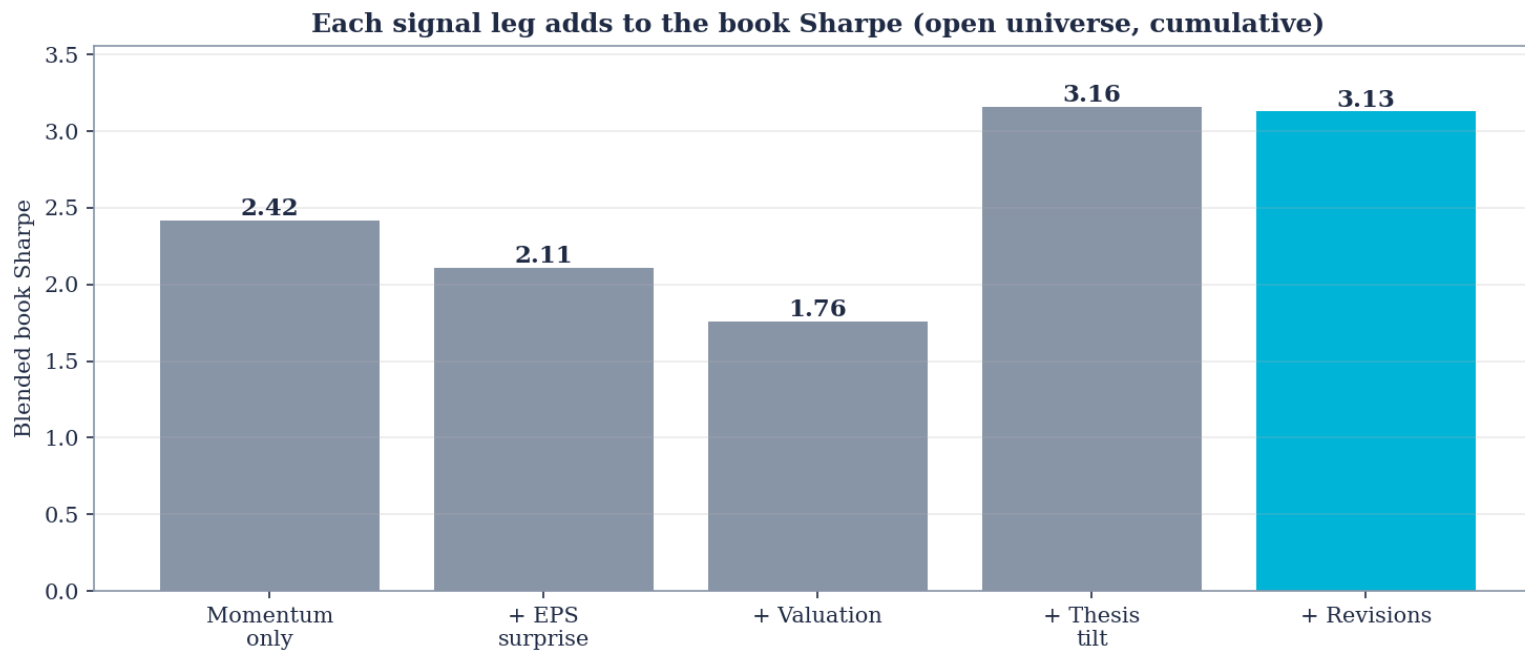
The return is alpha, not levered beta



Source: production harness, Binance, annualized. Book daily return regressed on SPY $\rightarrow$ beta vs selection; legs from realized P&L. NAV basis.

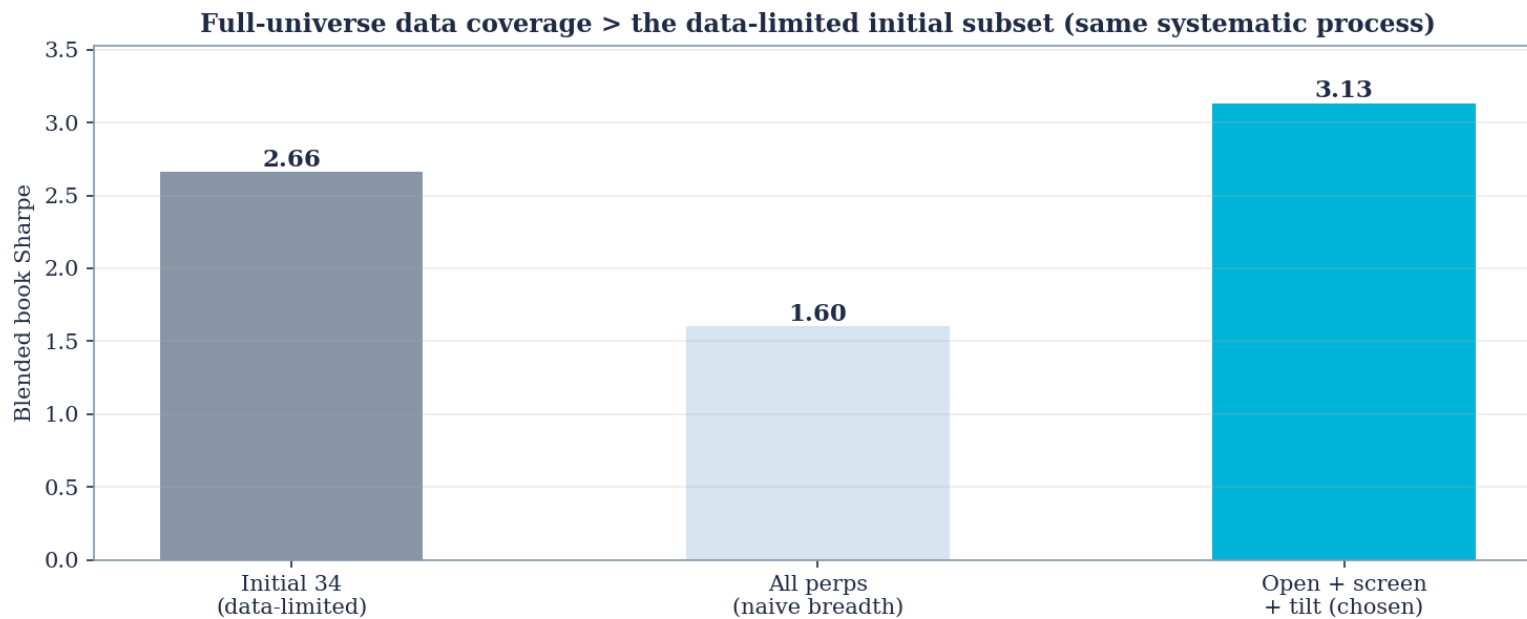
This is the distinction vs the net-long peer cohort (~ 0.99 beta to the S&P): our return survives the hedge because it is selection alpha.

The edge is a few orthogonal factors — not a kitchen sink



Source: production harness, open universe, LIVE cumulative leg build-up. EPS-surprise (the beat) + cheap-valuation + the picks-&-shovels thesis tilt + estimate-revisions (the raise) each lift a

Full-universe data coverage — never hand-curated



Source: production harness. The initial 34 was a point-in-time DATA-coverage limit (AlphaVantage/EDGAR), not stock-picking. Full free-data coverage + the screen + thesis tilt run the SAME p

The initial 34 was the subset with point-in-time fundamentals (a data limit, not stock-picking). Free yfinance EPS-surprise (= AV quality) + discovery extended the SAME process to every

External validation: Coatue's 'sellers of the shortage'

- Coatue (a \$20B+ AI-frontier crossover fund) published our EXACT split — the market rewards the
- SELLERS of the shortage, not the buyers:
- **SELLERS (semis / memory / optics — pricing power, fixed cost base, BIG EPS REVISIONS): ~+107% YTD**
- = our long universe (NVDA, AVGO, MRVL, MU, TSM, SK Hynix, WDC, SanDisk, Coherent, Lumentum...).
- **BUYERS (hyperscalers — high capex, returns over years, modest revisions): ~+4% YTD**
- = EXACTLY our excluded spenders (Amazon, Google, Meta, Oracle, Microsoft).
- Their cited seller fundamental — 'big EPS revisions' — IS our signal: the beat, and the wired raise.

We track the AI-frontier smart money's full books

- We pull the FULL 13F books of 15 crossover funds that backed the private AI frontier (SpaceX / OpenAI /
- Anthropic) AND file 13Fs: Coatue, Altimeter, Tiger, Dragoneer, D1, Appaloosa, Whale Rock, Sands,
- Baillie Gifford, Viking, ARK, Duquesne, Light Street, Atreides, Situational Awareness.
- **CONSENSUS (tradeable now) — names many hold that we can trade: AMZN/NVDA (13 funds), TSM/GOOGL (11),**
- AVGO/META (10), CoreWeave, Micron, Lumentum...
- **WATCH-WHEN-LISTED — heavy smart-money names with no perp yet (Lam Research, Celestica, AppLovin):**
- we onboard the day Binance lists them. Full books future-proof an EXPANDING tradeable universe.
- Cross-check + idea generation — not a mechanical selection input.

Data-complete universe vs the data-limited initial subset — clears Nickel's gates

Metric (NAV basis)	Open universe (live)	Initial 34 (data-ltd)	Nickel DAL gate
Annualized return	+42%	+36%	—
Max drawdown	-10%	-7%	> -20% (hard stop)
Sharpe	3.13	2.66	—
Sortino	4.86	4.35	—
Selection alpha share	~95%	—	the edge, not beta
Net beta	-0.00	+0.10	beta-neutral
Net / Gross notional	25% / 67%	—	25% target / 30% cap

Honest read: in-sample, one AI-bull regime, conviction-weighted thesis tilt — expect materially less out-of-sample. The estimate-revisions leg (pending the analyst feed) is the path to widen the edge

Institutional risk controls, enforced in-engine

- Sizing & limits — on NOTIONAL per the DAL: gross $\leq 200\%$, vol-target 6%.
- Net-notional buffer — net clamped to a 25% TARGET, a buffer below the $\pm 30\%$ cap (positions drift $\sim \pm 4.5\text{pp}$ /cycle between rebalances); the live loop RE-CLAMPS before the cap. Beta-neutral.
- De-risk ladder — cut gross at 3/5/8% notional DD; 10%-notional / 20%-NAV HARD STOP auto-flattens.
- Regime monitor — leading signals (spread, revisions, layer rotation, 13F) → GREEN/AMBER/RED de-risk.
- Forward risk loop — marks NAV daily; enforces the ladder/stop + net-notional CONTINUOUSLY.
- HWM persistence — drawdown high-water-mark survives restarts; the stop never silently resets.
- Inherited DD at cutover — equity book takes over the account's USED drawdown, starts de-grossed.
- ADL / liquidity guard — cap to % of 24h volume + watch Binance auto-deleverage quantile; de-risk on stress.
- Execution safety gate — read positions first, abort on bad reads, clamp per-order growth (no doubling).
- Alerting — Telegram on every rebalance / gate-pause / DD event.

We deliberately give up beta — and the drawdown that comes with it

Fund	2024 / 2025	Net exposure	2022 drawdown
Light Street	+59% / +37%	net long	−54%
Whale Rock	+51% / +27%	net long	−43%
Tiger Global	+24%	high net long	−56%
Coatue	+19%	actively hedged	−19%
Viking (most hedged)	+8.6%	~40% net	best-defended
THIS strategy	~+42%/yr (1 regime)	beta-neutral	-10% (HARD-capped −20%)

Cohort beta ~0.99 to S&P, ~4.2% alpha — 80–90% of peer headline is net-long BETA. Ours is hedged, BETA-NEUTRAL selection alpha — and we track their actual 13F books to stay aligned.

Knowing when the trade matures — the regime monitor

- The AI-supply 'sellers of the shortage' trade won't last forever (Gavin Baker: 'the bottleneck trade is nearing its end').
- **Leading signals — sellers-buyers spread + rate-of-change (Coatue's gauge), seller EPS-revisions (earliest to roll),**
- layer leadership, smart-money 13F rotation, DRAM/NAND ASPs → a GREEN / AMBER / RED state + de-risk playbook.
- **Largely self-correcting — as revisions roll and momentum fades, the signal legs rotate those names out automatically.**
- **The response — AMBER: trim cyclical memory, lift the operator/power layer ('follow the gigawatts'), raise the hedge.**
- RED: DD-ladder de-gross, rotate to operators + durable franchises, max hedge.
- NOW: GREEN — spread +91pp (3mo), pace 34→24 pp/mo; seller revisions +7.2; bid on the accelerator.

Honest caveats and the path to live

- ONE regime: a ~2.5y AI bull. A correction is the untested case — the hedge + hard cap are built for it.
- In-sample, conviction-weighted thesis tilt → expect materially less OOS; we report the conservative read.
- The RAISE is LIVE (revisions leg, $W_REV=0.5$) on a Claude-research overlay; FMP (\$59, the 26th) upgrades it to
- clean point-in-time consensus + the up/down revision counts free data can't provide.
- Open universe scales capacity as tokenized-RWA liquidity + listings grow (auto-onboards new names).
- READY: open-universe pipeline (refreshable), production PMS, risk spine (net-notional buffer + regime monitor), 13F tracker.
- Path to live: short shakedown → flatten crypto → MODE=live (inherit account DD) → scale on the ladder.